

INVESTOR DUE DILIGENCE FAQ

Legal Antitrust, Security & Operational Risk Brief (Revised Edition)

ATLAS TRAVEL CLUB LLC • CONFIDENTIAL • PRE-SEED ROUND (\$75K / \$1.75M CAP)

Q1: Can Booking.com or Expedia legally shut this down?

A: No. Rate Parity clauses apply exclusively to publicly accessible internet distribution (Google search, Trivago, public listings). Under the US Sherman Antitrust Act (15 U.S.C. § 1) and European Competition Law (EU Digital Markets Act / French Loi Macron), closed-loop buyer syndicates and password-protected membership clubs are strictly exempt. Furthermore, B2B Bedbanks (Hotelbeds, WebBeds) exist specifically to trade this wholesale inventory to closed groups.

Q2: What prevents members from sharing their accounts?

A: Three layered security controls: (1) Device fingerprinting and session limits prevent concurrent logins; (2) Passport & legal name verification requires room check-in names to match the primary account holder or verified family roster; (3) Personalized savings, price-drop credits, and Visa card balances create an economic disincentive to share credentials.

Q3: Why is your pre-seed capital requirement so lean (\$75,000)?

A: Unlike legacy travel agencies that lock up \$50k–\$100k in non-productive bank guarantees and hotel room blocks, ATLAS operates an asset-light software model with zero inventory liability. Modern APIs (RateHawk, Duffel, Stripe Issuing) settle bookings synchronously via real-time card authorization, requiring \$0 in locked supplier deposits. Over 57% of proceeds are invested directly into human execution—a modest \$2,500/mo founder stipend and specialized engineering—to ship Phase 2 on Google Cloud and reach self-sustaining cash flow.

Q4: What happens if a hotel does not honor a wholesale voucher?

A: All bookings are pushed directly into the hotel CRS with instant confirmation codes via tier-1 bedbanks. The front desk sees a standard pre-paid corporate reservation identical to an Amex Fine Hotels & Resorts booking. Non-honoring risk is structurally identical to any major OTA and is backed by the bedbank rebooking guarantee.